

IPE 4111

Introduction to Management

COURSE TEACHER

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Learning Outcomes

- What is Management?
- Functions of Management
- Nature of Management
- Who are Managers?
- Roles of Manager
- Management Theories

Definition of Management

“Management is the art of “knowing what you want to do” and then seeing that it is done in the best and cheapest way.

.....F.W.Taylor

Management as a process “consisting of planning, organizing, actuating and controlling, performed to determine and accomplish the objective by the use of people and resources.”

.....George R. Terry

Different context of defining management

There are four such orientations have been adopted in defining the management process:

- Production-or efficiency-oriented,
- Decision-oriented,
- People-oriented, and
- Function-oriented.

Production- or Efficiency-oriented Definition:

“Management is the art of knowing what you want to do and then seeing that it is done in the best and cheapest way”

Decision-oriented Definitions:

“Management is simply the process of decision making and control over the action of human beings for the expressed purpose of attaining predetermined goals

People oriented Definitions:

“Management is the accomplishment of results through the efforts of other people

Function oriented Definitions:

“To manage is to forecast and to plan, to organize, to coordinate and to control”

What Is Management?

Management involves coordinating and overseeing the work activities of others so that their activities are completed efficiently and effectively.

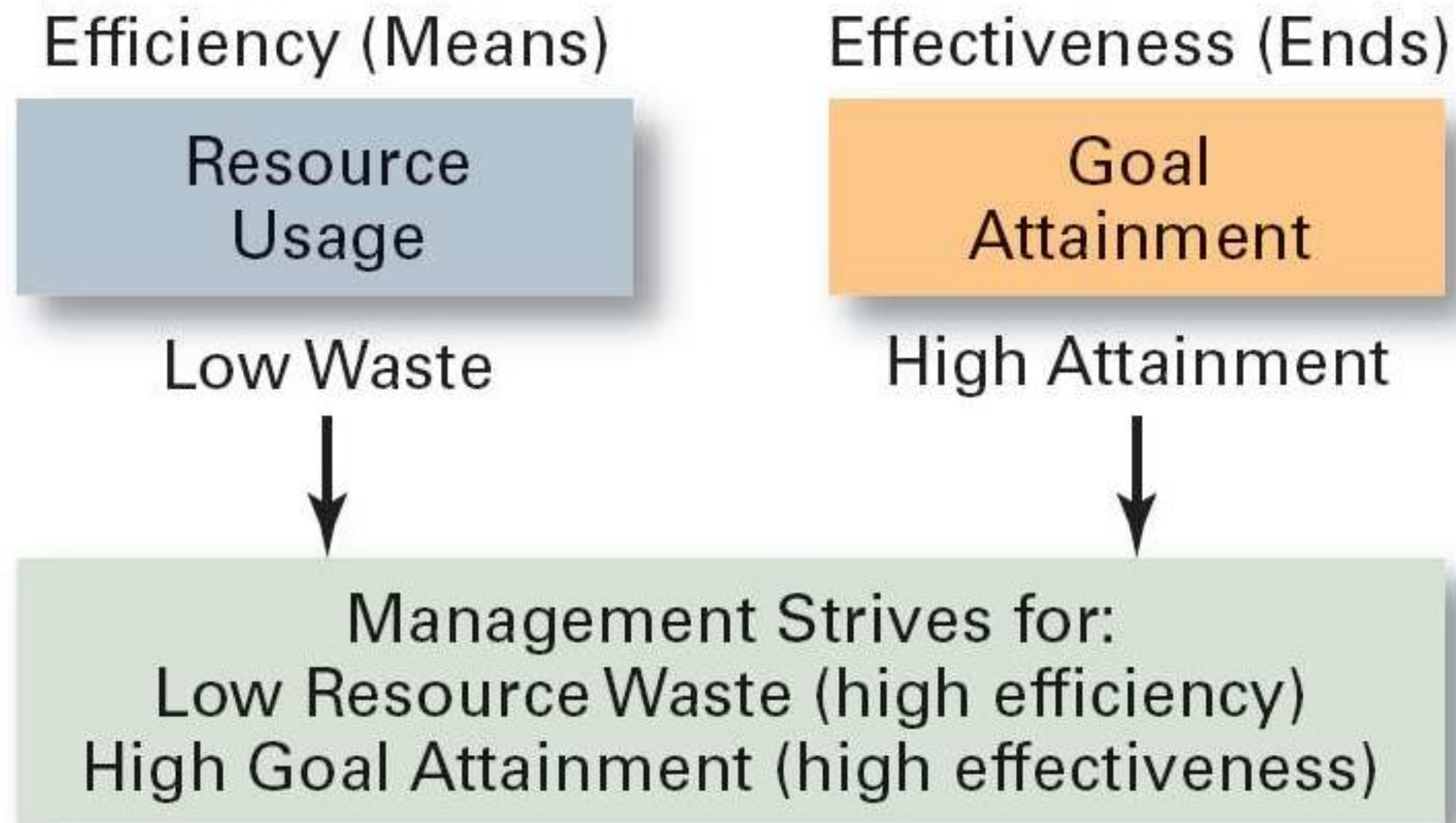
What Is Management?

Managerial Concerns

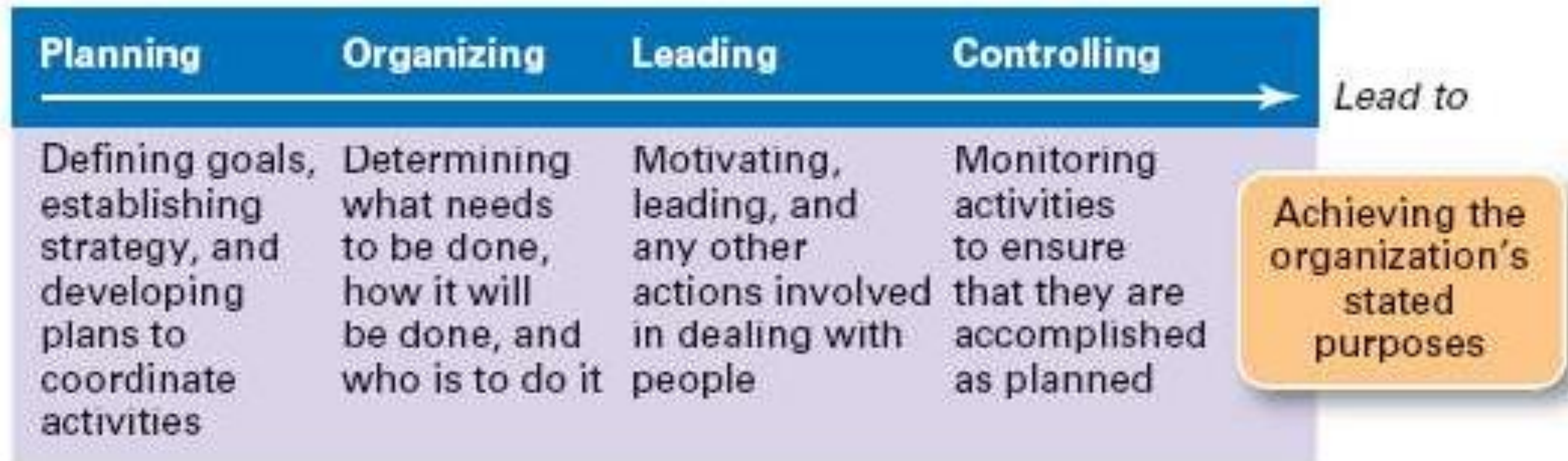
- Efficiency
 - “Doing things right”
 - Getting the most output for the least inputs
- Effectiveness
 - “Doing the right things”
 - Attaining organizational goals



Effectiveness and Efficiency in Management



Functions of Management



1. Planning

It is a process of deciding the business objectives and charting out the plan/ method for achieving the same. This includes

- Determination of what is to be done, how, and where it is to be done, who will do it and how result are to be evaluated.
- Determination of long and short-range objectives.
- Development of strategies and courses of action to be followed
- Formulation of policies, procedures and rules for implementing strategies and plans.

2. Organizing

Organizing involves:

- Identification of activities required for the achievement of objectives and implementation of plans.
- Grouping of activities so as to create self-contained jobs
- Assignment of jobs to employees
- Delegation of authority so as to enable them to perform their jobs and to command the resources needed for their performance
- Establishment of a network of coordinating relationships.

3. Staffing

Manpower planning: determination of no. of and the kind of personnel required.

- Recruitments of suitable no. of employees
- Selection of most suitable employees
- Placement, induction and orientation
- Transfer, promotions & terminations
- Trainings and developments

4. Directing

Directing involves communication, leadership and motivation.

- Communication is the process of passing the information and understanding it from one person to other person.
- Leadership is the function whereby the person or manager guides and influences the work of his subordinates.
- Motivation is to motivate the employee to give their best to the organization.

5. Coordinating

Clear definition of authority-responsibility relationships

- Unity of direction
- Unity of command
- Effective communication
- Effective leadership

6. Controlling

The controlling involves-

1. Establishing standards of performance.
2. Measuring current performance and comparing it against the established standard.
3. Taking corrective action that does not meet the standard.

Control compels the events to confirm to plans.

LEVELS OF MANAGEMENT

- ❑ LOWER LEVEL (FIRST LINE): FOREMEN & WHITE COLLAR SUPERVISOR
- ❑ MIDDLE MANAGEMENT: SALES MANAGERS, PERSONNEL MANAGERS, OTHER DEPARTMENTAL HEADS
- ❑ TOP MANAGEMENT: COMPANY PRESIDENTS, EXECUTIVES, VICE PRESIDENTS

Managerial Skills

Managers need a number of skills if they are to succeed. The most fundamental management skills are technical, Human, Conceptual, Design and time management skill.

- **Technical skill:** Technical skills are the **skills necessary to accomplish or understand the specific kind of work being done** in an organization. Project engineers, physicians, and accountants all have the technical skills. They get this skill from **education and experience**. Technical skills are especially **important for first line managers**. (Mechanics work with tools, so their supervisor should have the ability to teach them how to use the tools)



Managerial Skills

Human Skill:

For obvious reasons the **manager needs interpersonal skills** - the ability to **communicate with, understand, and motivate individuals and groups**. A manager must be able to work with subordinates, peers, and those at the top level also. They should also be able to work with **suppliers, creditors, customers, investors** and other outsiders.

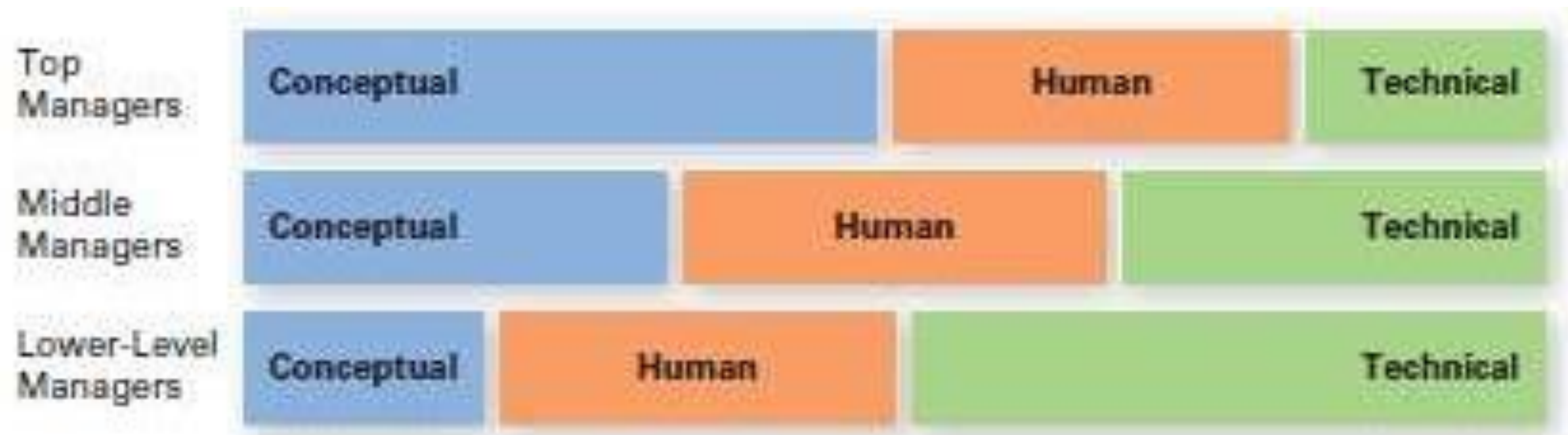


Managerial Skills

Conceptual skills:

Conceptual skills **depend on the manager's ability to think in the abstract**. Managers need the **mental capacity to understand the overall workings of organization and its environment**, to grasp how all the parts of the organizations fit together, and to view the organization in **holistic manner**.

Managerial Skills



Mintzberg's Managerial Roles

A **role is a set of specific tasks a person performs** because of the position they hold.

Roles are directed inside as well as outside the organization.

There are 3 broad role categories:

1. Interpersonal

2. Informational

3. Decisional

Roles of Manager



Interpersonal Roles

Roles managers assume to **coordinate and interact with employees** and **provide direction** to the organization.

- *Figurehead role*
- *Leader role*
- *Liaison role*

Informational Roles

Associated with the tasks needed to obtain and transmit information for management of the organization.

- *Monitor role*
- *Disseminator role*
- *Spokesperson role*

Decisional Roles

Associated with the methods managers use to **plan strategy and utilize resources to achieve goals.**

- *Entrepreneur role*
- *Disturbance handler role*
- *Resource allocator role*
- *Negotiator role*

Nature of Management

Management is goal-oriented:

It is a means to achieve certain goals. Management has no justification to exist without goals. Management goals are called group goals or organizational goals. The basic goal of management is to ensure efficiency and economy in the utilization of human, physical and financial resources. The success of management is measured by the extent to which the established goals are achieved.

Nature of Management Contd..

Management is a Social Process:

Management is **done by people , through people and for people**. It is a social process because it is concerned with interpersonal relations.

Management is a Continuous Process:

Management is an **unending process as past decisions always carry their impact** for the future course of action.

Nature of Management Contd..

Universal in Nature:

Management is universal in nature i.e. it **exists everywhere** in universe **wherever there is human activity**. The basic principles of management can be applied anywhere whether they are **business or non-business organizations**.

Multidisciplinary:

Management is basically multidisciplinary. Though management has developed as a separate discipline it **draws knowledge and concepts of various other streams like sociology, psychology, economics, statistics etc.**

Nature of Management Contd..

Dynamic:

Management is **dynamic in nature i.e. techniques to manage business changes over a period of time**. System of authority: Authority is the power to get the work done by others and compel them to work systematically. Management can not perform in absence of authority. Authority and responsibility depend upon position of manager in the organization.

Management as an Art

- Mary parker, koontz & several others management authors called management 'as **an art of getting things done through people.**



- Art refers to **creative skills and talent which people required to conduct certain activities effectively.**

Management is an art due to the following reasons:

- I. Intelligence.
- II. Initiative.
- III. Innovation.
- IV. Individual approach.
- V. Application and dedication.
- VI. Result oriented



Management as a Science

Science is a **systematic body of knowledge** that is universally accepted. Fredrick Taylor- the first person to consider management as a science, he was of the opinion that management should conduct their business affairs by following certain well-established standards.

Science can be broadly divided into two groups:

A. Physical science.

B. Social science.

Management is a social science because it deals with human beings.

Conclusion

- From the study above, we say that: management is both, art and science.
- According to ASME (American Society of Mechanical Engineers):
“Management is the art and the science of preparing, organizing and directing human efforts to control the forces and utilize the material of nature for the benefit of men.”
- Management has got two faces like a coin; on one side it is art and on the other side it is science.
- “Management is a mixture of an art and science – the present ratio is about 80% art and 20% science.” – Dean Stanley.

Administration Verses Management

The difference can be summarized under two categories:

Functions and Usage/Applicability

Administration vs Management: On the basis of Functions

Basis	Management	Administration
Meaning	Management is an art of getting things done through others by directing their efforts towards achievement of predetermined goals	It is concerned with formulation of broad objectives, plans and policies
Nature	Management is an executing function	Administration is a decision-making function
Process	Management decide who should do it and how he should do it.	Administration decides what is to be done and when it is to be done.
Function	Management is a doing function because manager get work done under their supervision.	Administration is a thinking function because plans and policies are determined under it.
Skills	Technical and Human skills	Conceptual and Human skills
Level	Middle and Lower level function	Top level function

Administration vs Management: On the basis of Usage

Basis	Management	Administration
Applicability	It is applicable to business concerns i.e. profit-making organization	It is applicable to non-business concerns i.e. clubs, schools, hospitals etc.
Influence	The management decisions are influenced by the values, opinions, beliefs and decisions of the managers	The administration is influenced by public opinion, government policies, religious organizations, customs etc.
Status	Management constitutes the employees of the organization who are paid remuneration (in the form of salaries and wages)	Administration represents owners of the enterprise who earn return on their capital invested and profits in the form of dividend.

1. What is management? Difference between Efficiency and Effectiveness
2. What major skill is needed in Top level manager
3. Administration vs management
4. Dynamic Management

BASIS FOR COMPARISON	EFFICIENCY	EFFECTIVENESS
Meaning	The virtue of being efficient is known as efficiency.	The magnitude of nearness of the actual result with the intended result, is known as effectiveness.
What is it?	Work is to be done in a correct manner.	Doing accurate work.
Emphasis on	Inputs and Outputs	Means and Ends
Time Horizon	Short Run	Long Run
Approach	Introverted	Extroverted
Ascertainment	Strategy Implementation	Strategy Formulation
Orientation	Operations	Strategies

Efficiency vs Effectiveness

Efficiency	Effectiveness
It focuses on the maximum result with the least time and effort	It is doing the right things in the right way at the right time
It is focused on the process	It is focus on the end result
it is a very important factor for the organization.	it is a very important factor for the customer
Efficiency is a productivity metric.	Effectiveness is a quality metric.
It is yield-oriented	It is result-oriented
Example – Manufacture the maximum numbers of the product with min. time and resources	Example – Manufacture the maximum numbers of good product